## Investigation: BRASIL BROKERS PARTICIPACOES S.A. (CVM code 21180), fiscal year 2018, as it was on 2019-04-30

Statistical signal based on public financial statements. Not an accusation, not investment advice.

## Company

Sector: Emp. Adm. Part. - Const. Civil, Mat. Const. e Decoração (origin: FCA); group: non-financial.
Before 2018, the company was called BRASIL BROKERS PARTICIPAÇÕES SA.
Trading codes (2018 FCA, version 3, filed on 2018-09-13): BBRK3 (Ações Ordinárias, Bolsa, since 2007-10-29).

## Document used

2018 DFP, version 1, filed on 2019-03-26; origin: open data; type: consolidated; original scale: MIL.
Versions known on the date: 1 (2019-03-26).
Document at the CVM: http://www.rad.cvm.gov.br/ENETCONSULTA/frmDownloadDocumento.aspx?CodigoInstituicao=1&NumeroSequencialDocumento=81559

## Possible manipulation (engine v1, study 1)

Beneish M-score
- Value: −2.244 (index)
- Alert by the study 1 rule: no
- Rule: M > −1.78 (pre-registration, section 4)
- Percentile in sector and year: fewer than 10 companies with a computable value
- Percentile in group and year: 74 (n = 355)
- The company's own history: median −3.506; Tukey range (1.5 × IQR): from −5.007 to −1.904; value inside the range (index; 5 fiscal years)
- Confidence in the data: medium

DSRI, days' sales in receivables index
- Value: 1.288 (index)
- M-score component; it has no rule of its own
- Percentile in sector and year: fewer than 10 companies with a computable value
- Percentile in group and year: 85 (n = 440)
- The company's own history: median 0.964; Tukey range (1.5 × IQR): from 0.527 to 1.274; value above the range (index; 5 fiscal years)
- Confidence in the data: medium

GMI, gross margin index
- Value: 1.100 (index)
- M-score component; it has no rule of its own
- Percentile in sector and year: fewer than 10 companies with a computable value
- Percentile in group and year: 79 (n = 453)
- The company's own history: median 0.997; Tukey range (1.5 × IQR): from 0.963 to 1.041; value above the range (index; 5 fiscal years)
- Confidence in the data: medium

AQI, asset quality index
- Value: 0.994 (index)
- M-score component; it has no rule of its own
- Percentile in sector and year: fewer than 10 companies with a computable value
- Percentile in group and year: 46 (n = 442)
- The company's own history: median 1.033; Tukey range (1.5 × IQR): from 0.869 to 1.203; value inside the range (index; 5 fiscal years)

Confidence in the data: medium

SGI, sales growth index
Value: 1.250 (index)
M-score component; it has no rule of its own
Percentile in sector and year: fewer than 10 companies with a computable value
Percentile in group and year: 78 (n = 455)
The company's own history: median 0.749; Tukey range (1.5 × IQR): from 0.444 to 1.027; value above the range (index; 5 fiscal years)
Confidence in the data: medium

DEPI, depreciation index
Value: 0.917 (index)
M-score component; it has no rule of its own
Percentile in sector and year: fewer than 10 companies with a computable value
Percentile in group and year: 23 (n = 365)
The company's own history: median 0.893; Tukey range (1.5 × IQR): from 0.699 to 1.209; value inside the range (index; 5 fiscal years)
Confidence in the data: medium

SGAI, SG&A expenses index
Value: 0.722 (index)
M-score component; it has no rule of its own
Percentile in sector and year: fewer than 10 companies with a computable value
Percentile in group and year: 14 (n = 446)
The company's own history: median 1.105; Tukey range (1.5 × IQR): from 0.885 to 1.454; value below the range (index; 5 fiscal years)
Confidence in the data: medium

TATA, total accruals to total assets
Value: −0.053 (index)
M-score component; it has no rule of its own
Percentile in sector and year: fewer than 10 companies with a computable value
Percentile in group and year: 43 (n = 469)
The company's own history: median −0.116; Tukey range (1.5 × IQR): from −0.247 to −0.000; value inside the range (index; 5 fiscal years)
Confidence in the data: medium

LVGI, leverage index
Value: 1.282 (index)
M-score component; it has no rule of its own
Percentile in sector and year: fewer than 10 companies with a computable value
Percentile in group and year: 89 (n = 460)
The company's own history: median 0.988; Tukey range (1.5 × IQR): from 0.177 to 2.037; value inside the range (index; 5 fiscal years)
Confidence in the data: medium

DPO jump
Value: −96.7 days
Alert by the study 1 rule: no
Rule: DPO change in the year's top decile among non-financial companies (≥ 90th percentile of computable values on the date: 30.7 days)
Percentile in sector and year: fewer than 10 companies with a computable value
Percentile in group and year: 6 (n = 423)
The company's own history: median −8.6 days; Tukey range (1.5 × IQR): from −136.8 days to 175.8 days; value inside the range (5 fiscal years)

Confidence in the data: medium
Alternative explanations: Bargaining power with suppliers and a change in purchase mix (decision of 2026-11-07)

Implied interest rate minus average CDI
Value: zero denominator: average debt (no borrowings in t and t−1)
Alert by the study 1 rule: does not trigger alerts
Rule: implied interest rate above the year's average CDI rate + 10 p.p. (pre-registration, section 4)
Percentile in sector and year: —
Percentile in group and year: —
The company's own history: fewer than 5 previous fiscal years with a value
Confidence in the data: low
Alternative explanations: Expensive debt, exchange differences and lease interest inside finance costs (decision of 2026-11-07)

Accruals to average total assets
Value: −0.051 (index)
Alert by the study 1 rule: does not trigger alerts
Percentile in sector and year: fewer than 10 companies with a computable value
Percentile in group and year: 46 (n = 466)
The company's own history: median −0.109; Tukey range (1.5 × IQR): from −0.225 to 0.013; value inside the range (index; 5 fiscal years)
Confidence in the data: medium

## Financial risk (context only)

Altman Z'' (financial risk, context only)
Value: −3.119 (index)
Components: X1 = 0.058; X2 = −1.255; X3 = −0.201; X4 = 1.850 (indices)
Percentile in sector and year: 18 (n = 528); percentile in the non-financial universe: the sector has fewer than 10 companies with a value
The company's own history: median 5.935; Tukey range (1.5 × IQR): from −14.586 to 21.703; value inside the range (index; 5 fiscal years)
- No cut-off zone: the available source does not define zones for Z''
- Coefficients estimated outside Brazil; bankruptcy models lose validity over time (Pereira and Martins 2015, p. 25)

## Financial quality (context only)

Piotroski F (financial quality, context only)
Value: F = 3/9 (8 computable)
Signals:
  - Return on assets (ROA): 0
  - Operating cash flow on assets (CFO): 0
  - Change in ROA: 1
  - Cash above earnings (ACCRUAL): 1
  - Change in leverage: 0
  - Change in current ratio: 0
  - No equity issuance (EQ_OFFER): —
  - Change in gross margin: 0
  - Change in asset turnover: 1
- No equity issuance (EQ_OFFER), from the cash flow statement: 6.03 lines of the frozen "emissões" pattern (reconnaissance, part 4.2), only those about shares or capital, as the article defines it ("did not issue common equity", p. 9); adaptation: preferred shares also count, because in Brazil they are equity, and the line is identified by text in the cash

flow statement
- No long-term debt in either year: the change in leverage is zero and the signal is 0 (project choice; the article only defines fell = 1, rose = 0, p. 8)

## Changes

Restatement through the following year's comparative: no difference above the tolerance, or the next year's DFP did not exist yet on the date.

## What was known on the date

- DFP 2013, v1: 2014-03-18
- DFP 2014, v1: 2015-03-20
- DFP 2015, v1: 2016-03-29
- DFP 2016, v1: 2017-03-27
- FCA 2018, v1: 2018-01-23
- DFP 2017, v1: 2018-03-28
- FCA 2018, v2: 2018-05-17
- FCA 2018, v3: 2018-09-13
- DFP 2018, v1: 2019-03-26

DFP and FCA filed with the CVM by the reference date; ITR comes in a later phase.
Material facts and market notices filed by the date (IPE open data, since 2010): 24 material fact documents and 138 market notice documents.
Material facts filed in the 24 months before the date (from 2017-05-01 to 2019-04-30):
- 2019-04-30: Detalhes da Oferta Pública (version 2)
- 2019-04-26: aprovaram a 1ª (primeira) emissão de debêntures, conversíveis em ações ordinárias da Companhia
- 2019-03-27: subject omitted (possible person's name); see the document at the CVM
- 2018-07-16: Proposta de grupamento da totalidade das ações de emissão da Companhia à Assembleia Geral Extraordinária da Companhia
- 2018-04-02: Procedimentos e cronograma que serão adotados para enquadrar a cotação das ações aos parâmetros determinados pela B3.

Older material facts, the market notices and the link to each document are in the JSON and on screen.
Material facts and market notices filed with the CVM by the date, from the IPE open data (since 2010): filing date, category, subject (as filed, in Portuguese) and link. The content of the documents is not downloaded, read or summarized, and the list generates no alert, score or ranking. The counts are of documents: versions, resubmissions and English versions count separately; in the list, versions of the same document and documents with the same date, category and subject appear on a single line, with a link to each one.

## Data quality

53 applicable checks; 0 failed.

## Auditor's report and auditor (factual section; no alert)

Auditor's report: Sem Ressalva (unqualified).
Excerpt checked literally: "Em nossa opinião, essas demonstrações do valor adicionado foram adequadamente elaboradas, em todos os aspectos relevantes, segundo os critérios definidos nesse Pronunciamento Técnico e são consistentes em relação às demonstrações contábeis individuais e consolidadas tomadas em conjunto.Outras informações que acompanham as demonstrações contábeis individuais e consolidadas e o relatório do auditor A Administração da Companhia é responsável por essas outras informações que compreendem o Relatório da Administração."
Auditor in the 2016 FCA: Grant Thornton Auditores Independentes.
Auditor in the 2017 FCA: Grant Thornton Auditores Independentes.
Auditor in the 2018 FCA: Grant Thornton Auditores Independentes.
Auditor changes (one line per change, canonical name by the firm's CVM code):
- 2012: Ernst & Young Auditores Independentes S.S. -> KPMG Auditores Independentes. The outgoing firm audited 2 consecutive fiscal years (2010 to 2011), by the start and end dates in the FCA.

- 2016: KPMG Auditores Independentes -> Grant Thornton Auditores Independentes. The outgoing firm audited 4 consecutive fiscal years (2012 to 2015), by the start and end dates in the FCA.

Auditor rotation: under CVM Resolution No. 23/2021, art. 31, the same independent auditor may not serve the same client for more than five consecutive fiscal years, with a minimum interval of three fiscal years before being hired again; under art. 31-A, the term is up to ten consecutive fiscal years when the company has a statutory audit committee in permanent operation and the auditor is a firm. The Resolution has been in force since 2021-04-01 (art. 41); before that, the equivalent rule was in arts. 31 and 31-A of CVM Instruction No. 308/1999, revoked by the Resolution (art. 40, I). A change of auditor is a fact, not an alert.

## Document excerpts (copied; no alert)

Excerpts copied from the documents, with the page, and the Reference Form table. It is not a signal family: it generates no alert, score or ranking. Absence of mention does not prove absence.

How the reader was tested: 22 held-out cases, a single measurement with the frozen reader (dd688da): precision 0.973, coverage 0.915, literal check on 146 of 146 excerpts, no natural-person name (docs/leitor_medida_f1_2.json).

Explanatory notes · Related parties

Note: 15. Operações com partes relacionadas. (pages 30 to 33)

- [parent company; subsidiaries] “As operações com partes relacionadas da Companhia referem-se basicamente a mútuos remunerados de acordo com a variação do CDI, pactuados entre a Companhia e suas controladas. A Companhia é a controladora e possui influência significativa em todas as subsidiárias.” (p. 30, original excerpt in Portuguese)
- Excerpt omitted; see page 31 of the document
- [parent company] “Abreu Brokers Servicos Imobiliários Ltda. 31/12/2019 1.372 933” (p. 31, original excerpt in Portuguese)
- [parent company] “Agil Negocios Imobiliários Ltda. 31/12/2019 1.067 625” (p. 31, original excerpt in Portuguese)
- [parent company] “Basimóvel Consultoria Imobiliária Ltda. 29/12/2019 7.780 2.841” (p. 31, original excerpt in Portuguese)
- [parent company] “BBRK Consultoria e Capital Ltda. 30/11/2019 31 -” (p. 31, original excerpt in Portuguese)
- [parent company] “Brasil Brokers Participação Administração Ltda. 23/08/2019 1 1” (p. 31, original excerpt in Portuguese)
- [parent company] “Brito Amoedo Imobiliária Ltda. 31/01/2019 1.200 358” (p. 31, original excerpt in Portuguese)
- [parent company] “Frema Consultoria Imobiliária Ltda. 31/12/2019 9.977 4.381” (p. 31, original excerpt in Portuguese)
- [parent company] “Global Consultoria Imobiliária Ltda. 31/12/2019 18.635 8.620” (p. 31, original excerpt in Portuguese)
- [parent company] “LBR Brokers Negócios Imobiliários Ltda. 31/08/2019 86 -” (p. 31, original excerpt in Portuguese)
- [parent company] “MF Consultoria Imobiliária Ltda. 29/12/2019 5.907 3.719” (p. 31, original excerpt in Portuguese)
- [subsidiaries] “Mútuos a receber – os saldos classificados no longo prazo destinam-se a empréstimos às Sociedades controladas para capital de giro. Para estes empréstimos, a Companhia mantém contrato de mútuo e os valores são corrigidos pelo CDI acrescido de 1% ao ano.” (p. 31, original excerpt in Portuguese)
- [parent company; subsidiaries] “A Companhia possui serviços compartilhados referentes ao rateio dos gastos incorridos comuns às partes relacionadas, incluindo gastos com a estrutura administrativa do grupo, que estão sendo compartilhadas entre as empresas através de critérios de rateio que consideram, por exemplo, histórico do uso efetivo de determinado recurso compartilhado por cada uma das partes, quantidade de colaboradores de cada parte que terão acesso a determinado recurso compartilhado e aferição do uso efetivo de determinado recurso compartilhado. Suportados pela controladora e repassados as suas controladas.” (p. 32,

original excerpt in Portuguese)
- Excerpt omitted; see page 33 of the document
- [key management personnel] “Os administradores da Companhia receberam um total de R$ 1.467 até 31 de dezembro” (p. 33, original excerpt in Portuguese)
- [key management personnel] “definido pelo Conselho de Administração.” (p. 33, original excerpt in Portuguese)

Fields of item 18 of CPC 05 (R1)
- [terms and conditions] “As operações com partes relacionadas da Companhia referem-se basicamente a mútuos remunerados de acordo com a variação do CDI, pactuados entre a Companhia e suas controladas. A Companhia é a controladora e possui influência significativa em todas as subsidiárias.” (p. 30, original excerpt in Portuguese)
- [amount of the transactions] “As operações e negócios com partes relacionadas decorrem de transações realizadas conforme condições contratuais definidas entre as partes para os respectivos tipos de operações, ou mediante pagamento compensatório adequado dado a natureza de cada operação.” (p. 30, original excerpt in Portuguese)
- [balances] “Operações de mútuo a receber 53.917 21.979” (p. 30, original excerpt in Portuguese)
- [balances] “Operações com serviços compartilhados 27.322 13.754” (p. 30, original excerpt in Portuguese)
- [balances] “Total 81.239 35.733” (p. 30, original excerpt in Portuguese)
- [balances] “a) Operações de mútuo a receber” (p. 31, original excerpt in Portuguese)
- Excerpt omitted; see page 31 of the document
- [terms and conditions] “Abreu Brokers Servicos Imobiliários Ltda. 31/12/2019 1.372 933” (p. 31, original excerpt in Portuguese)
- [terms and conditions] “Agil Negocios Imobiliários Ltda. 31/12/2019 1.067 625” (p. 31, original excerpt in Portuguese)
- [terms and conditions] “Basimóvel Consultoria Imobiliária Ltda. 29/12/2019 7.780 2.841” (p. 31, original excerpt in Portuguese)
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- [terms and conditions] “MF Consultoria Imobiliária Ltda. 29/12/2019 5.907 3.719” (p. 31, original excerpt in Portuguese)
- [balances; terms and conditions] “Mútuos a receber – os saldos classificados no longo prazo destinam-se a empréstimos às Sociedades controladas para capital de giro. Para estes empréstimos, a Companhia mantém contrato de mútuo e os valores são corrigidos pelo CDI acrescido de 1% ao ano.” (p. 31, original excerpt in Portuguese)
- [amount of the transactions] “A receita financeira apropriada em 31 de dezembro de 2018 foi de R$ 2.860 (R$ 1.212 em” (p. 31, original excerpt in Portuguese)
- Excerpt omitted; see page 33 of the document

Explanatory notes · Reverse factoring and forfaiting

The reader found no mention of reverse factoring (risco sacado), forfaiting or supplier agreements in the notes of this DFP. Absence of mention does not prove absence of the operation.

Auditor's report

Type of opinion: unqualified

- [key audit matters] “Principais assuntos de auditoria (PAA) são aqueles que, em nosso julgamento profissional, foram os mais significativos em nossa auditoria do exercício corrente. Esses assuntos foram tratados no contexto de nossa auditoria das demonstrações contábeis individuais e consolidadas como um todo e na formação de nossa opinião sobre essas demonstrações contábeis individuais e consolidadas e, portanto, não expressamos uma opinião separada sobre esses assuntos. Dessa forma, determinamos que o assunto descrito abaixo é o principal assunto de auditoria a ser comunicado em nosso relatório. Avaliação do valor recuperável dos ativos intangíveis e ágio na aquisição de investimentos Conforme descrito nas Notas Explicativas nºs 10 e 12 – “Investimentos” e “Intangível, a Companhia por meio da aquisição de controle societário de outras Companhias, expandiu suas atividades em diversas regiões do país. Dessa forma, os ativos da Companhia são compostos de parcela significativa de ativos intangíveis, derivados, principalmente de ágios constituídos em transações de combinações de negócios.” (cut at the end of a sentence, original excerpt in Portuguese)
- [other matters] “Outros assuntos Demonstrações do valor adicionado As demonstrações individual e consolidada do valor adicionado (DVA) referentes ao exercício findo em 31 de dezembro de 2018, elaboradas sob a responsabilidade da administração da Companhia, e apresentadas como informação suplementar para fins de IFRS, foram submetidas a procedimentos de auditoria executados em conjunto com a auditoria das demonstrações contábeis da Companhia. Para a formação de nossa opinião, avaliamos se essas demonstrações estão conciliadas com as demonstrações contábeis e registros contábeis, conforme aplicável, e se a sua forma e conteúdo estão de acordo com os critérios definidos no Pronunciamento Técnico CPC 09 - Demonstração do Valor Adicionado. Em nossa opinião, essas demonstrações do valor adicionado foram adequadamente elaboradas, em todos os aspectos relevantes, segundo os critérios definidos nesse Pronunciamento Técnico e são consistentes em relação às demonstrações contábeis individuais e consolidadas tomadas em conjunto.” (cut at the end of a sentence, original excerpt in Portuguese)

Reference Form
The Reference Form for this fiscal year was not available on the date. It is the only version available in the open data; earlier versions are not there.

Limits of this section:
- In real documents, about 22% of the excerpts come out omitted by the name detector, including names of companies outside the registry.
- In tables, a header line (years, column titles) may still come out as an excerpt: in the reader's measurement, 1 of 19 header texts of the held-out cases came out as excerpts.

## How the engine was tested

In study 1, engine v1 detected 7 of 13 detectable cases, with 108.3 false alarms per detected case over the whole period and an alert rate of 49.9% among evaluated non-financial company-years (docs/summary.md).

## Limits

- No alert is not a clean bill of health. In Dechow, Sloan and Sweeney (1995), the most powerful accruals model rejected 'no manipulation' for only 28.1% of 32 companies sanctioned by the SEC (Table 7, p. 32).
- In study 1, 49.9% of evaluated non-financial company-years (48.3% including financial companies) were in alert, and the number of detections did not beat chance in a descriptive test done after the result: 7 detections in 13 detectable cases, against 7.37 expected by chance without assuming independent years (8.56 assuming independent years).
- Risk models use numbers that may be manipulated (Pereira and Martins 2015, p. 29). That is why the three families are not added up.

## Limitations

- Context indicators (Altman Z'' and Piotroski F) were not validated in Brazil by this project and do not trigger alerts

Evidence in the JSON: 38 DFP lines, each with document, version, filing date, account and location.

## Engine

motor v1 (estudo 1), branch estudo-1-final, commit 8c9a823; chiocca.v2 (produto, fases B a F1); leitor-f1-2 (commit dd688da). The generation date is in the demo manifest (demo/manifesto.json).

## Today's information (outside the reference date)

Registry status: ATIVO. Source: CVM registry of listed companies (cad_cia_aberta.csv), in the version downloaded for the project, not on the reference date.
Name in today's registry: NEXPE PARTICIPAÇÕES S.A. - EM RECUPERAÇÃO JUDICIAL.